

Continuing Problem

Chapter 1 - Instruction #1

Peyton Smith enjoys listening to all types of music and owns countless CDs. Over the years, Peyton has gained a local reputation for knowledge of music from classical to rap and the ability to put together sets of recordings that appeal to all ages.

During the last several months, Peyton served as a guest disc jockey on a local radio station. In addition, Peyton has entertained at several friends' parties as the host deejay.

On June 1, 20Y5, Peyton established a corporation known as PS Music. Using an extensive collection of music MP3 files, Peyton will serve as a disc jockey on a fee basis for weddings, college parties, and other events. During June, Peyton entered into the following transactions:

June 1. Deposited \$4,000 in a checking account in the name of PS Music in exchange for common stock.

June 2. Received \$3,500 from a local radio station for serving as the guest disc jockey for June.

June 2. Agreed to share office space with a local real estate agency, Pinnacle Realty. PS Music will pay one-fourth of the rent. In addition, PS Music agreed to pay a portion of the wages of the receptionist and to pay one-fourth of the utilities. Paid \$800 for the rent of the office.

June 4. Purchased supplies from City Office Supply Co. for \$350. Agreed to pay \$100 within 10 days and the remainder by July 5, 20Y5.

June 6. Paid \$500 to a local radio station to advertise the services of PS Music twice daily for two weeks.

June 8. Paid \$675 to a local electronics store for renting digital recording equipment.

June 12. Paid \$350 (music expense) to Cool Music for the use of its current music demos to make various music sets.

June 13. Paid City Office Supply Co. \$100 on account.

June 16. Received \$300 from a dentist for providing two music sets for the dentist to play for her patients.

June 22. Served as disc jockey for a wedding party. The father of the bride agreed to pay \$1,000 in July.

June 25. Received \$500 for serving as the disc jockey for a cancer charity ball hosted by the local hospital.

June 29. Paid \$240 (music expense) to Galaxy Music for the use of its library of music demos.

June 30. Received \$900 for serving as PS disc jockey for a local club's monthly dance.

June 30. Paid Pinnacle Realty \$400 for PS Music's share of the receptionist's wages for June.

June 30. Paid Pinnacle Realty \$300 for PS Music's share of the utilities for June.

June 30. Determined that the cost of supplies on hand is \$170. Therefore, the cost of supplies used during the month was \$180.

June 30. Paid for miscellaneous expenses, \$415.

June 30. Paid \$1,000 royalties (music expense) to National Music Clearing for use of various artists' music during the month.

June 30. Paid dividends, \$500.

Required:

Indicate the effect of each transaction and the balances after each transaction. Enter deductions and negative values (withdrawals and expenses) as negative numbers. For transactions occurring on the same date, enter in the order shown above.

Assets				= Liabilities +				Stockholders' Equity						
Accounts				Common				Office	Equipment					
Cash	+ Receivable	+ Supplies	= Payable	+ Stock	- Dividends	+ Earned	- Expense	- Expense	- Expense	- Advertising	- Wages	- Utilities	- Supplies	- Miscellaneous
June 1	✓ 4,000			✓ 4,000										
June 2	✓ 3,500					✓ 3,500								
Bal.	✓ 7,500			✓ 4,000		✓ 3,500								
June 2	✓ -800							✓ -800						
Bal.	✓ 6,700			✓ 4,000		✓ 3,500		✓ -800						
June 4		✓ 350	✓ 350											
Bal.	✓ 6,700	✓ 350	✓ 350	✓ 4,000		✓ 3,500		✓ -800						
June 6	✓ -500													✓ -500
Bal.	✓ 6,200	✓ 350	✓ 350	✓ 4,000		✓ 3,500		✓ -800						✓ -500
June 8	✓ -675								✓ -675					

Bal.	✓ 5,525		✓ 350	✓ 350	✓ 4,000		✓ 3,500		✓ -800	✓ -675	✓ -500			
June 12	✓ -350							✓ -350						
Bal.	✓ 5,175		✓ 350	✓ 350	✓ 4,000		✓ 3,500	✓ -350	✓ -800	✓ -675	✓ -500			
June 13	✓ -100			✓ -100										
Bal.	✓ 5,075		✓ 350	✓ 250	✓ 4,000		✓ 3,500	✓ -350	✓ -800	✓ -675	✓ -500			
June 16	✓ 300						✓ 300							
Bal.	✓ 5,375		✓ 350	✓ 250	✓ 4,000		✓ 3,800	✓ -350	✓ -800	✓ -675	✓ -500			
June 22		✓ 1,000					✓ 1,000							
Bal.	✓ 5,375	✓ 1,000	✓ 350	✓ 250	✓ 4,000		✓ 4,800	✓ -350	✓ -800	✓ -675	✓ -500			
June 25	✓ 500						✓ 500							
Bal.	✓ 5,875	✓ 1,000	✓ 350	✓ 250	✓ 4,000		✓ 5,300	✓ -350	✓ -800	✓ -675	✓ -500			
June 29	✓ -240							✓ -240						
Bal.	✓ 5,635	✓ 1,000	✓ 350	✓ 250	✓ 4,000		✓ 5,300	✓ -590	✓ -800	✓ -675	✓ -500			
June 30	✓ 900						✓ 900							
Bal.	✓ 6,535	✓ 1,000	✓ 350	✓ 250	✓ 4,000		✓ 6,200	✓ -590	✓ -800	✓ -675	✓ -500			
June 30	✓ -400											✓ -400		
Bal.	✓ 6,135	✓ 1,000	✓ 350	✓ 250	✓ 4,000		✓ 6,200	✓ -590	✓ -800	✓ -675	✓ -500	✓ -400		
June 30	✓ -300											✓ -300		
Bal.	✓ 5,835	✓ 1,000	✓ 350	✓ 250	✓ 4,000		✓ 6,200	✓ -590	✓ -800	✓ -675	✓ -500	✓ -400	✓ -300	
June 30			✓ -180										✓ -180	
Bal.	✓ 5,835	✓ 1,000	✓ 170	✓ 250	✓ 4,000		✓ 6,200	✓ -590	✓ -800	✓ -675	✓ -500	✓ -400	✓ -300	✓ -180
June 30	✓ -415													✓ -415
Bal.	✓ 5,420	✓ 1,000	✓ 170	✓ 250	✓ 4,000		✓ 6,200	✓ -590	✓ -800	✓ -675	✓ -500	✓ -400	✓ -300	✓ -180
June 30	✓ -1,000							✓ -1,000						
Bal.	✓ 4,420	✓ 1,000	✓ 170	✓ 250	✓ 4,000		✓ 6,200	✓ -1,590	✓ -800	✓ -675	✓ -500	✓ -400	✓ -300	✓ -180
June 30	✓ -500				✓ -500									
Bal.	✓ 3,920	✓ 1,000	✓ 170	✓ 250	✓ 4,000	✓ -500	✓ 6,200	✓ -1,590	✓ -800	✓ -675	✓ -500	✓ -400	✓ -300	✓ -180
														✓ -415